

Commission. In the commission-based model, both the liquidity provider and liquidity supplier are charged a fee for transacting with liquidity. This was the original pricing model of exchanges, but currently attracts the least amount of interest. Investors could place an order on a commission-based venue and they could jump to the front of the queue (similar to with the taker-maker model). Although there is no incentive for the liquidity taker to transact with that particular exchange over a maker-taker exchange unless the commission fee is less than the rebate. Commission fee structures are popular with dark pools and crossing networks where investors are allowed to transact within the bid-ask spread, thus receiving better prices even after commissions paid.

ORDER PRIORITY

Currently there are two types of priority models in use: “price-time” priority and “price-size” priority. In price-time models, orders receive execution priority based on the time the order was entered into the venue. Orders are sorted based on price and then time so that the best priced and longest standing orders are executed first. In price-size models, orders are sorted based on price and then order size so that the largest orders are executed first. This incentivizes investors to enter larger orders as a way to move to the front of the line, rather than increase their price or submit orders to a taker-maker model. Investors with large orders are often encouraged to utilize the price-size priority model.

EQUITY EXCHANGES

The landscape of trading exchanges has changed dramatically since the early days of the NYSE and NASDAQ. There are four exchange groups operating ten exchanges with an additional three independent venues, and dark pools. These groups are (Table 2.6):

- NYSE/EuroNext: NYSE, ARCA, AMEX
- NASDAQ/OMX: NASDAQ, BSX, PSX
- Bats: BYX, BZX
- DirectEdge: EDGA, EDGX
- Independents: NSX, CBOE, CBSX
- Finra: TRF (trade reporting facilities)

NEW NYSE TRADING MODEL

The NYSE model has changed dramatically from what is depicted in television and movies with crowds of people huddled around a central figure yelling and screaming orders at one another and manically